SNIPPET 03 · FREE · XAUUSD

LEVELS THAT HOLD

Support and resistance are zones, not lines. Two or three a day is enough.

A chart covered in lines is a chart that will agree with anything you want to do. This snippet cuts the drawing down to what gold actually respects.

LENGTH	LEVEL	RECORD
4 pages	Beginner	Reviewed by Sam

PART I

WHAT A LEVEL ACTUALLY IS

A level is a price where orders piled up before and left a mark. Price arrived, met enough resistance to turn, and the people who were involved remember it. That is all. It is not a prediction and it has no opinion about the future.

Three sources give you every level worth drawing on gold.

SOURCE	WHY IT MATTERS
Swing highs and lows on H4	The prices where a real turn happened. Draw from the wick extreme, not the body.
The previous day's high and low	Yesterday's edges are today's first decision points, and the whole market sees them.
Round numbers	Gold reacts at the round hundreds and fifties, where resting orders cluster.

DRAW A BAND, NOT A LINE

Take the wick extreme and the nearest body close and shade between them. On gold that band is often 30–60 pips wide, and pretending it is a one-pip line is how a good level gets called a failure.

PART II

TEST, BREAK, RETEST

One question decides everything at a level: did the body close through it, or did only the wick get there?

LEFT CANDLE — TEST
Wick through the band, body closed back below it. The level held. This is where a short belongs.

RIGHT CANDLE — BREAK
Body closed above the band. The level is now support until proven otherwise.

Figure 1 — A wick is a test. A body close is a break. Illustrative, not a past trade.

After a genuine break, the trade is usually not the break itself. It is the **retest**: price comes back to the band it just cleared, finds it holding from the other side, and continues. You get a defined invalidation and a stop behind structure instead of guesswork.

> A level you drew after price arrived is not a level. It is a story.

NEXT

THREE THINGS TO DO THIS WEEK

1. Open H4 and mark three bands only. Delete everything else on the chart.
2. For each band, write down the pip width. If it is under 20 pips, you drew a line, not a band.
3. Watch one band all week and note whether each touch was a wick test or a body close.

BEFORE THE SESSION

Two or three bands. Yesterday's high and low. The nearest round number. Then close the drawing tools and wait.

WHERE THE SIGNALS LIVE

Published setups name the band they are trading, so you can mark it before the entry appears.

Open the bot →

`t.me/samproducts_bot`

NEXT SNIPPET

Snippet 04 — Where the stop goes.

Behind the level, plus a buffer for gold's spikes — and where the targets sit.
